

Financial Statement Analysis

Reliance Industries Limited (NSE: RELIANCE | BSE: 500325)

FY2026 (Year Ended March 31, 2026) | Darshan Kumar GP | Week 2 — FinTech Domain Fundamentals

1. Company Overview

Reliance Industries Limited (RIL) is India's largest private-sector company by revenue and market capitalisation, operating across four core segments: Oil-to-Chemicals (O2C), Retail (Reliance Retail), Digital Services (Jio Platforms), and Oil & Gas Exploration. It is listed on both NSE and BSE. This analysis uses figures announced at RIL's 49th AGM (June 19, 2026) for the fiscal year ended March 31, 2026 (FY2026).

2. Profit & Loss Statement Snapshot

Metric	FY2026 Value	What It Tells Us
Consolidated Revenue	Rs. 11,75,919 crore	Total income from operations, up 9.8% year-on-year
Net Profit (PAT)	Rs. 95,754 crore	Profit after tax, up 17.8% year-on-year — a record for the company
EBITDA	Rs. 2,07,911 crore	Operating profit before interest, tax, depreciation, amortisation — up 13.4% YoY
Capital Expenditure	Rs. 1,44,271 crore	Reinvestment into growth — New Energy, Jio network, retail expansion

Segment Revenue Breakdown

Metric	FY2026 Value	What It Tells Us
Oil-to-Chemicals (O2C)	Rs. 6,62,401 crore	Largest single segment, up 5.7% YoY — refining, petrochemicals
Retail	Rs. 3,70,026 crore	Up 11.8% YoY — 20,160 stores, 387 million registered customers
Digital Services (Jio)	Rs. 1,76,164 crore	Telecom and digital platforms
Oil & Gas E&P	Rs. 23,861 crore	Smallest segment, stable output

3. Balance Sheet Snapshot

Metric	FY2026 Value	What It Tells Us
Total Assets	Rs. 21,78,140 crore	Everything the company owns, as of March 31, 2026
Dividend Declared	Rs. 6.00 per share	Cash returned directly to shareholders, subject to AGM approval

4. Key Ratios & What They Show

Metric	FY2026 Value	What It Tells Us
Market Capitalisation	~Rs. 17,83,605 crore	What the market currently values the whole company at (recent quote)
PE Ratio (approx.)	~18.6x	Market Cap ÷ Net Profit — investors are paying ~Rs. 18.6 for every Rs. 1 of annual profit
Return on Equity (ROE)	8.77% (3-yr avg)	How efficiently shareholder capital is converted into profit — relatively modest for a company this size
Dividend Payout Ratio	~10.2% of profit (3-yr avg)	RIL retains most profit for reinvestment rather than paying it out as dividends

5. Interpretation

- Revenue and profit both hit record highs in FY26, with profit growing faster than revenue — a genuinely positive signal, not just size growth.
- A relatively low ROE (8.77%) alongside a very large asset base (Rs. 21.8 lakh crore) suggests RIL's scale doesn't yet translate into best-in-class capital efficiency — common for a conglomerate running capital-heavy businesses (refining, telecom infrastructure, retail stores) simultaneously.
- A low dividend payout ratio (~10%) combined with high capex (Rs. 1.44 lakh crore) shows a company still firmly in growth-and-reinvestment mode rather than a mature, income-focused stock.
- Retail (+11.8%) and O2C (+5.7%) are both growing, but Retail is growing meaningfully faster — a shift in where RIL's future growth is likely to come from.